CSIS CHINA PROGRAMS

China Daily Brief

Wednesday, October 14, 2026

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RE: RE: China trade surplus nears $1tn · CXMT memory chip rout rattles markets · Taiwan water-cannon flap · EU weighs new China import curbs

USD/CNY	SSE COMPOSITE	HANG SENG	BRENT
6.6814	3,767.23	24,314.17	$106.39
▼ -0.34%	▼ -1.17%	▲ +0.76%	▲ +1.59%

IN THIS ISSUE Top Stories · US-China · The World · Beijing · Markets · Statements · Analysis · Overnight · The Wire · Upcoming

TODAY AT A GLANCE

1. China's September exports jumped *36.3 percent* year-on-year, pushing the Jan-Sep trade surplus to *$938 billion* and putting 2026 on track to blow past last year's $1.2 trillion record, customs data showed Wednesday.
2. Beijing told Taipei it 'must bear the consequences' after Taiwan's coast guard used water cannon to drive off a mainland fishing boat, with the Taiwan Affairs Office calling the move 'crude.'
3. Global chip stocks slid after reports that China's CXMT made a breakthrough in next-generation memory chip design, with Reuters citing the news as a factor extending declines in US semiconductor shares.

TOP STORIES

PRC-ECONOMY

China's Exports Surge 36.3 Percent, Trade Surplus Nears Record

China's exports jumped *36.3 percent* year-on-year in September while imports also rose, customs data showed Wednesday, pushing the nine-month trade surplus to *$938 billion* and putting the full-year total on track to pass 2025's $1.2 trillion record, per AP and Reuters. The Financial Times attributed part of the acceleration to AI-related semiconductor and automobile shipments, calling it the fastest export growth in almost any month since the 2008-09 financial crisis.

REUTERS, AP, FT, OCT 14

CROSS-STRAIT

China Says Taiwan Must 'Bear the Consequences' Over Water Cannon Incident

China's Taiwan Affairs Office said Taipei 'must bear the consequences' after Taiwan's coast guard used water cannon to drive off a mainland fishing boat, calling the move 'crude,' Reuters reported Wednesday. The TAO said the Democratic Progressive Party government bears full responsibility for the incident.

REUTERS, TAO, OCT 14

TECHNOLOGY

Little-Known Chinese Chipmaker CXMT Triggers Global Chip Stock Rout

Shares of global chip firms fell after reports that China's CXMT, the country's leading memory chipmaker, had made progress on next-generation memory chip designs, CNBC reported. Nikkei said the breakthrough put rivals in South Korea, the US and Taiwan 'on the back foot,' while Reuters reported US chip stocks extended their slide on the news combined with broader AI-spending jitters.

CNBC, NIKKEI, REUTERS, OCT 13-14

PLA

Liaoning Carrier Group Heads to Western Pacific as US, Japan Prepare Missile Drills

China's Liaoning aircraft carrier group began its second western Pacific drill series of the year, the defense ministry said Wednesday, without disclosing the exact location. SCMP reported the exercise is likely to coincide with an expanded US-Japan military drill that could carry implications for a Taiwan contingency.

SCMP, OCT 14

SANCTIONS

Paraguay, Belize Condemn Beijing's Sanctions Over Taiwan Ties

> Paraguay and Belize condemned Beijing's sanctions on their officials over Taiwan ties, with Paraguay's ICT Minister Gustavo Villate and Belize's Foreign Minister Francis Fonseca both targeted, the Taipei Times reported. Villate linked the sanctions to Taiwan-Paraguay cooperation including a planned data center and an AI tech hub project involving Hon Hai Precision Industry Co.
>
> TAIPEI TIMES, OCT 14

OVERNIGHT

PRC-ECONOMY WSJ: China's Slowing Economy Is Creating a 'Lost Generation' · WSJ China

The Wall Street Journal reported that China's economic slowdown is creating what it called a 'lost generation' among young workers facing weak hiring and stagnant wages. The report ties the trend to structural pressures on China's labor market amid the ongoing property and growth slowdown.

LEGAL Wyoming Grad Student Accused of Poisoning Colleague Arrested Fleeing to China · AP China

A University of Wyoming graduate student accused of poisoning a colleague was arrested while allegedly attempting to flee to China, AP reported. The case adds to a series of recent prosecutions in which US suspects have sought to reach China to evade charges.

TECHNOLOGY Chinese Technology Remains Embedded in Ukraine's Drone Arsenal · AP China

AP reported that components long flagged as a vulnerability in Ukraine's drone arsenal continue to rely on Chinese-made technology despite years of effort to reduce that dependence. The finding echoes concerns driving US defense startups to build China-free drone supply chains in Taiwan, per a separate WSJ report.

ENERGY Saudi Aramco's New China Refinery Venture Receives First Crude Cargo · Bloomberg China

Saudi Aramco's new refining joint venture in China received its first crude cargo, Bloomberg reported, marking the venture's operational start. The project extends Aramco's downstream push into the Chinese market amid competition for refining capacity.

PRC-ECONOMY Funds Say China Bonds Can Overcome 'World-Beating' Paltry Yields · Bloomberg China

Fund managers told Bloomberg that China's bond market can remain attractive globally despite low yields, citing stability and diversification benefits. The comments come as Chinese sovereign debt has drawn steady foreign inflows this year.

TECHNOLOGY Strategist: China at Least Five Years Behind in Lithography · CNBC China

ASML said it expects Q4 sales above expectations on AI-driven demand after posting better-than-expected Q3 net income, though revenue narrowly missed forecasts, CNBC reported. Quilter Cheviot's Ben Barringer said China remains 'at least five years' behind in lithography despite its chipmaking advances.

DIPLOMACY Sinocism: Huang Qifan Probe, Xi Meets Botswana and Togo Leaders · Sinocism

Sinocism's roundup noted Xi Jinping met with leaders from Botswana and Togo, questioned the durability of EU-China trade outcomes, and reported Visa has finally won approval to operate a bank-card clearing institution in China. It also flagged that former Chongqing mayor Huang Qifan is under investigation.

CROSS-STRAIT IMF Raises Taiwan's 2026 Growth Forecast to 10.7 Percent on AI Boom · Taipei Times (direct)

The IMF raised its Taiwan growth forecast to *10.7 percent* for 2026, up from 5.2 percent in April, making it the only economy projected to post double-digit growth this year, per its Bangkok annual meetings report. The same outlook projected China's economy to grow 4.5 percent in 2026.

CROSS-STRAIT Taiwan Monitoring Rumors of Plague Spreading From Russia Into China · Taipei Times (direct)

Taiwan's Premier Cho Jung-tai said the government is 'highly, highly concerned' about online rumors of a pneumonic plague outbreak spreading from Russia into China and may enhance

quarantine measures. The Mainland Affairs Council said China has 'always been opaque' about disease outbreaks after reports that posts on Sichuan plague cases were removed.

TECHNOLOGY

US Chip Stocks Extend Slide on China Memory Report, AI Jitters · Reuters China

US chip stocks extended their slide after reports of a breakthrough by China's CXMT memory chipmaker compounded broader AI-spending jitters, Reuters reported. The move follows separate Nikkei and CNBC reports describing the CXMT advance as a threat to established memory producers.

US–CHINA

DIPLOMACY · AFP CHINA

Trump Says He Doesn't Believe China, Russia Are Aiding Iran

President **Trump** said he does not believe China and Russia are helping Iran, writing on Truth Social that 'they have too much to lose, and we would know about it, and know about it very fast!' Trump made similar comments in July despite reports of Chinese intelligence support to Iran during the war that began February 28, AFP reported.

DIPLOMACY · REUTERS CHINA

China Buys 8-10 US Soybean Cargoes in First Deals Since Trump-Xi Summit

China purchased *8 to 10 cargoes* of US soybeans, the first such deals since the May Trump-Xi summit in Beijing, sources told Reuters. The purchases come even as China's broader soybean demand stays weak, dimming prospects for a sustained pickup in US farm exports.

EXPORT CONTROLS · REUTERS CHINA

ASML CFO Warns US 'Match Act' Curbs on China DUV Sales Would Backfire

ASML's chief financial officer said proposed US legislation restricting the Dutch firm's sales of deep ultraviolet lithography equipment to China would be 'counterproductive,' Reuters reported. The comments followed Q3 results in which ASML posted better-than-expected net income and forecast Q4 sales above expectations on AI-driven demand.

MILITARY · WSJ CHINA

US Defense Startups Flock to Taiwan to Build 'China-Free' Drones

US defense startups are relocating drone production to Taiwan to build supply chains free of Chinese components, the Wall Street Journal reported. The push follows separate AP reporting that Chinese-made parts remain embedded even in Ukrainian drone systems built to avoid them.

DIPLOMACY · REUTERS CHINA

Kamala Harris Urges US-China AI Cooperation, Warns Safety Window Closing

Former Vice President **Kamala Harris** said the window for establishing AI safeguards is closing and urged US-China cooperation on the issue, Reuters reported. The remarks add to a wider debate over AI governance as Chinese models advance rapidly.

CHINA & THE WORLD

CROSS-STRAIT · REUTERS CHINA

Taiwan Warns Europe of Dangers of Dependence on China

Taiwan warned European governments of the risks of economic dependence on China, Reuters reported. The warning comes as Taipei seeks deeper technology and security cooperation with EU states wary of Chinese market leverage.

CROSS-STRAIT · NIKKEI ASIA CHINA

Taiwan, Trump Confirm Plans for Alaska LNG Cooperation

Taiwan is set to buy gas from a proposed Alaska LNG project, marking a step toward US-Taiwan energy cooperation, Nikkei Asia reported. The deal would give Taipei an alternative gas supplier as it seeks to diversify away from routes vulnerable to a Chinese blockade.

JAPAN · ASAHI CHINA

Chinese Officials Visit Island Disputed Between Japan and Russia

A Heilongjiang provincial delegation visited the Russian-held islands claimed by Japan, drawing a protest from Tokyo that called the visit 'unacceptable,' Asahi Shimbun reported. China's foreign ministry said Beijing's position is that the outcomes of the World Anti-Fascist War's victory should be respected and upheld.

KOREA · AP CHINA

China-North Korea Bridge Opens More Than a Decade Late

A new bridge linking Dandong, China and Sinuiju, North Korea is set to open Thursday after delays of more than a decade, AP reported. The 3,026-meter, four-lane span, built with roughly *2.2 billion yuan* of Chinese investment, was completed in 2014 but held up by unfinished North Korean approach infrastructure, per Yonhap.

EUROPE · BLOOMBERG CHINA

Germany to Push EU to Impose Caps on More Chinese Imports

Germany plans to push the EU to impose import caps on additional categories of Chinese goods beyond electric vehicles, Bloomberg reported. The move follows a China-EU hybrid-vehicle consensus and comes as member states debate further trade defenses against Chinese overcapacity.

EUROPE · BLOOMBERG CHINA

EU's China Trade Imbalances Go Beyond Autos, Dombrovskis Says

European Commission Executive Vice-President **Valdis Dombrovskis** said China's trade imbalances with the EU extend well beyond the auto sector, Bloomberg reported. His comments came as Brussels and member states debate new local-content rules and additional import restrictions on Chinese goods.

ASEAN · REUTERS CHINA

EU Seeks Closer Vietnam Ties on Critical Minerals as China Hedge

The EU is pursuing closer ties with Vietnam on critical minerals as part of a strategy to reduce dependence on China, internal documents show, Reuters reported. The push mirrors broader Western efforts to diversify rare-earth and battery-metal supply chains.

MULTILATERAL · REUTERS CHINA

IMF's Georgieva Urges US to Cut Deficits, China to Shift From Exports

IMF Managing Director **Kristalina Georgieva** called for the US to reduce its deficits and for China to rebalance away from export-led growth, Reuters reported from the Fund's Bangkok annual meetings. The remarks come as China's Jan-Sep trade surplus approaches *$1 trillion* for the year.

STAT OF THE DAY

$938B

China's Jan-Sep 2026 trade surplus

The nine-month total already approaches 2025's full-year record of $1.2 trillion, with September exports growing at the fastest pace in almost any month since the 2008-09 financial crisis recovery, the New York Times reported.

AP News / NYT

ECONOMY & BUSINESS

MACRO · CNBC CHINA

China's Producer Prices Rise at Fastest Pace Since June 2022

China's producer price index rose faster than expected in September, beating the 4.5 percent forecast and accelerating from 3.8 percent in August, the fastest pace since June 2022, as fuel costs surged, CNBC reported citing NBS data.

MANUFACTURING · REUTERS CHINA

China's Solar Giants Shed Another 40,000 Jobs as Overcapacity Persists

China's major solar manufacturers cut another *40,000 jobs* last year amid persistent industry overcapacity, Reuters reported, extending years of sector consolidation.

ENERGY / MERCURIA · BLOOMBERG CHINA

Mercuria Agrees $250 Million Congo Copper Deal With China Miner

Commodity trader Mercuria agreed a *$250 million* copper deal in the Democratic Republic of Congo with a Chinese mining company, Bloomberg reported.

FINANCE · BLOOMBERG CHINA

Hong Kong's Clearing Bank Gains New Funding Access in Yuan Push

Hong Kong's yuan clearing bank gained new funding access as part of a broader push to expand offshore renminbi use, Bloomberg reported.

MACRO / BANK OF AMERICA · BLOOMBERG CHINA

BofA Says China's Economic Data May Open Door to More Stimulus

Bank of America said China's latest trade and inflation data may open the door to additional stimulus measures, Bloomberg reported.

TECH · BLOOMBERG CHINA

China Is Poised to Spearhead a $5 Trillion Humanoid Robot Market

China is positioned to lead a projected *$5 trillion* humanoid robot market, Bloomberg reported, citing the country's dominance in robotic-hand manufacturing supply chains.

WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · WEDNESDAY, OCTOBER 14, 2026

海关 · CUSTOMS · *General Administration of Customs*

Customs releases September trade data showing record surplus

September exports rose *36.3 percent* year-on-year, pushing the Jan-Sep trade surplus to *$938 billion*, customs data showed Wednesday, per AP and Reuters.

→ AP News ↗

中国人民银行 · PEOPLE'S BANK OF CHINA · *PBOC*

PBOC to conduct 700 billion yuan, 6-month reverse repo operation

The PBOC said it will carry out a *700 billion yuan* outright reverse repo operation on Oct 15 with a six-month tenor as part of routine liquidity management.

→ PBOC ZH ↗

国台办 · TAIWAN AFFAIRS OFFICE · *TAO spokesperson*

TAO imposes fresh punitive measures on enterprise linked to Taiwanese legislator's father

TAO announced new punitive measures against a company reportedly linked to the father of Taiwanese legislator Puma Shen (沈伯洋); Shen dismissed the move, saying he was 'happy to hear it.'

→ TAO ZH ↗

PERSONNEL CHANGES

Huang Qifan UNDER INVESTIGATION
Former Mayor of Chongqing
China's anti-graft watchdog is investigating Huang Qifan, a former Chongqing mayor and one-time associate of purged former Chongqing party chief Bo Xilai, Reuters and Nikkei Asia reported Oct 13-14.

WHAT BEIJING IS SAYING

国台办 · TAO · TAIWAN FM'S ARIZONA VISIT, PHOENIX OFFICE OPENING

FIRM · TO TAIWAN

Chen Binhua '· TAO spokesperson

“The DPP authorities stubbornly 'rely on the US to seek independence' and 'kneel to the US to sell out Taiwan,' disregarding the wellbeing of Taiwan compatriots and the interests of industry, this is selling out Taiwan, harming Taiwan, and destroying Taiwan.”

民进党当局顽固“倚美谋独”、“跪美卖台”，罔顾台湾同胞福祉和产业界利益，将岛内优势产业当成谋“独”的工具、媚外的贡品，是在卖台、害台、毁台。

Taiwan's foreign affairs chief Lin Chia-lung visited Arizona to unveil a new Taipei economic and cultural office in Phoenix; TAO said it had lodged a protest with Washington.

国台办 (TAO ZH)

外交部 · MOFA · HEILONGJIANG DELEGATION'S VISIT TO JAPAN-RUSSIA DISPUTED ISLANDS

FIRM · TO JAPAN

Mao Ning '· MOFA spokesperson

“The outcomes of the victory of the World Anti-Fascist War should be respected and upheld.”

世界反法西斯战争胜利成果应得到尊重和维护

Japan's foreign minister called a Heilongjiang provincial delegation's visit to the Russian-held, Japan-claimed islands 'unacceptable'; MOFA responded at its Oct 14 briefing.

外交部发言人 (MOFA presser ZH)

国台办 · TAO · TAIWAN COAST GUARD WATER CANNON INCIDENT

WARNING · TO TAIWAN

TAO spokesperson '· TAO spokesperson

“Per TAO: the incident was handled 'crudely' by Taiwan's coast guard, and the DPP authorities must bear all the consequences.”

台海巡水炮驱离大陆渔船 国台办痛批粗暴：民进党须承担一切后果

Taiwan's coast guard used water cannon to drive off a mainland fishing boat; TAO's response was reported Oct 14 by Reuters and HK01.

国台办 (TAO ZH)

习近平 · XI JINPING · CHINA-TOGO TIES ELEVATED, ZERO-TARIFF POLICY FOR AFRICA

CONCILIATORY · TO OTHER

Xi Jinping '· President, CCP General Secretary

“Zero-tariff measures are a special arrangement through which China, with a view to supporting Africa's independent development, empowers China-Africa cooperation through institutional opening-up.”

零关税举措是中国着眼支持非洲自主发展、以制度型开放赋能中非合作的特殊安排

Xi met Togo's Council of Ministers Chairman Fouré in Beijing on Oct 13, and the two sides announced elevating ties to a 'China-Togo community of shared destiny in the new era.'

环球时报 (Global Times ZH)

商务部 · MOFCOM · CHINA-EU TRADE STABILITY

CONCILIATORY · TO EU

MOFCOM spokesperson '· MOFCOM

“Per Reuters: China said it is willing to work with the EU to boost the stability of their trade relationship.”

The statement follows a China-EU consensus on hybrid-vehicle trade and amid German-led calls for additional EU import caps on Chinese goods.

Reuters China

WHAT OTHERS ARE SAYING

AFP, OCT 14

Donald Trump · US President

“They have too much to lose, and we would know about it, and know about it very fast!”

Trump's comment followed reports that Chinese and Russian entities had supplied intelligence to Iran during the war that began February 28, per AFP.

source

THE WIRE

ECONOMY · CNBC CHINA

Goldman: Investors Seek 'Profitable' Overseas Growth From Chinese Firms

Goldman Sachs says global investors are seeking 'profitable' overseas growth from Chinese firms amid sluggish domestic consumer demand, CNBC reported.

ECONOMY · BLOOMBERG CHINA

Legacy Carmakers Seen Losing Mass Market to Chinese Rivals

Legacy automakers are losing the mass market to Chinese rivals on cost and technology, Bloomberg analysts said.

ECONOMY · BLOOMBERG CHINA

BYD's Denza Eyes Europe Car-Finance Unit to Rival BMW, Mercedes

BYD's premium Denza brand is exploring a European car-finance unit to compete with BMW and Mercedes, Bloomberg reported.

ECONOMY · REUTERS CHINA

Roche Signs Up to $1.16B Obesity Drug Deal With China's Rona Therapeutics

Roche signed a licensing deal worth up to *$1.16 billion* for an obesity drug from China's Rona Therapeutics, Reuters reported.

ECONOMY · REUTERS CHINA

China Auto Group Says EU Trade Consensus Aids Industry Stability

China's auto industry association said the China-EU hybrid-vehicle trade consensus supports industry stability, Reuters reported.

ECONOMY · REUTERS CHINA

Chinese Automakers Adapt as EU Debates Local-Content Rules

Chinese automakers are already adapting to EU local-content rules still under debate in Brussels, Reuters reported.

ECONOMY · NYT ASIA (DIRECT)

Chinese College Grads Turn to Tech-Enabled Farming

Facing a tight job market, Chinese college graduates are increasingly turning to tech-enabled farming, the New York Times reported.

ECONOMY · ECONOMIST CHINA

China Scales Up Recycling Industry 'on a Vast Scale'

China is scaling up recycling and waste-to-resource industries 'on a vast scale,' the Economist reported.

UPCOMING

Oct 15 — **China-North Korea Yalu River bridge opens**
The new bridge linking Dandong and Sinuiju opens after delays of more than a decade; MOFA confirmed a joint China-DPRK ceremony.

Oct 20 — **APEC Finance Ministers' Meeting, Hong Kong**
Taiwan Finance Minister Chuang Tsui-yun is set to attend the Oct 20-21 gathering; China holds the 2026 APEC chair.

Oct 25 — **UN Resolution 2758, 55th anniversary**
The 1971 resolution remains a contested-interpretation flashpoint between Beijing and Taipei over UN participation.

Nov 3 — **US midterm elections**
Results will shape the composition of China-focused committees (Select Committee on the CCP, SFRC, HFAC) for the remainder of Trump's term.

Nov 18 — **APEC Economic Leaders' Meeting, Shenzhen**
China hosts the Nov 18-19 APEC leaders' summit; Trump attendance and any Trump-Xi meeting remain unconfirmed.

CSIS China Programs

CHINA DAILY BRIEF

Washington, D.C.

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